

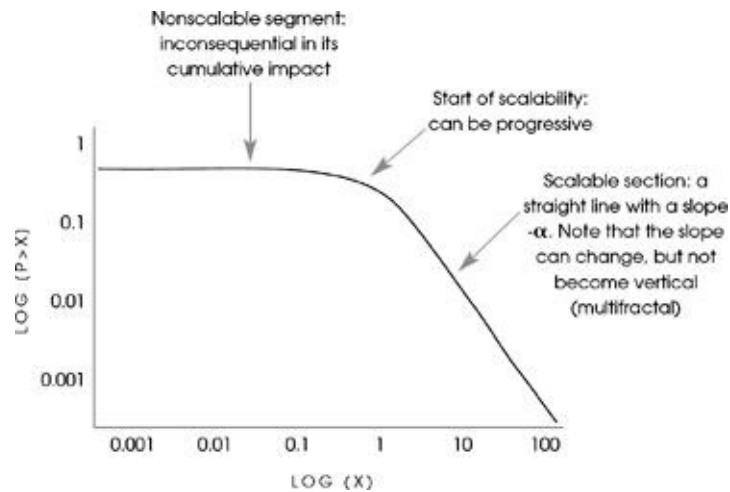
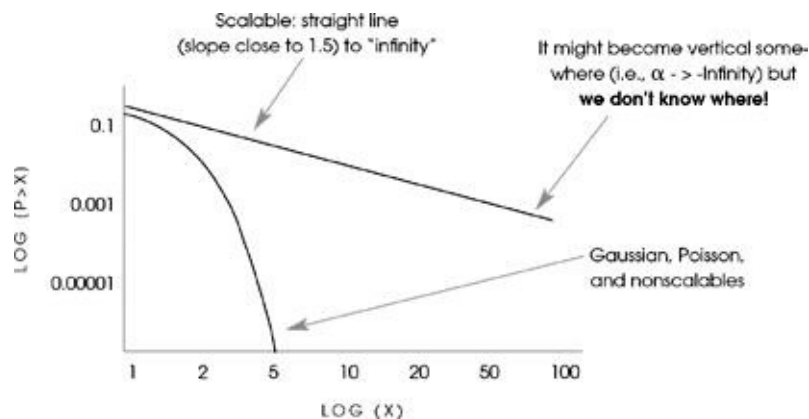


FIGURE 16



My ideas are made very simple with this clean cut polarization—added to the problem of not knowing which basin we are in owing to the scarcity of data on the far right. leads to a Levy-stable distribution—Mandelbrot’s thesis of 1952 (see Mandelbrot [1997a]). Tsallis’s more sophisticated view of entropy leads to a Student T.

Imitation chains and pathologies: An informational cascade is a process where a purely rational agent elects a particular choice ignoring his own private information (or judgment) to follow that of others. You run, I follow you, because you may be aware of a danger I may be missing. It is efficient to do what others do instead of having to reinvent the wheel every time. But this copying the behavior of others can lead to imitation chains. Soon everyone is running in the same direction, and it can be for spurious reasons. This behavior causes stock market bubbles and the formation of massive cultural fads. Bikhchandani et al. (1992). In psychology, see Hansen and Donoghue (1977). In biology/selection, Dugatkin (2001), Kirpatrick and Dugatkin (1994).